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ECO401 FINAL TERM SUBJECTIVE QUESTIONS 2010-2020

MCQs were mostly from past papers questions zyada technical nhi the simple hi the like Experience goods, degrees of price discrimination. agr lectures liye hein to exam axha ho jae ga
2020

- 1) Which of the following best describe aggregate?
 - 2) Briefly discuss the concept of full employment
 - 3) Describe briefly how growth is an important macroeconomic issue?
 - 4) Describe at least two conditions of price discrimination? Ye long tha
 - 5) Discuss the balance of payment. How it is determined?
 - 6) Define the term revenue and also formula TR?
 - 7) Thrift, excheator, multiplier effect
 - 8) 1st degree, 2nd degree, 3rd degree
 - 9) Discuss any three determinates of consumption? Ye bi long tha 5 marks ka
- Sep 09, 2020**

1. Difference b/w nominal and real gdp
 2. why growth is macroeconomic issue
 3. identify first, second and third degree price discrimination
 4. define consumption, also equation of consumption function
 5. find missing value in given quantity theory of money
 6. Variable cost, fixed cost, total cost and output given find marginal cost,
 7. write three market structure names
 8. unemployment at least three costs
 9. find national income with the help of given values of reward
- Feb 16, 2020**

- 1) Money illusion
 - 2) Marginal cast
 - 3) Devaluation currency etc.
 - 4) Equation $mv=PQ$ ma questions tha
 - 5) Aur unemployment etc.
- Feb 02, 2020**

- 5 question 3 marks
- Q.1 fixed cost define with example
- Q.2 castle with example
- Q.3 differ btw technological unemployment and cyclical
- Q.4 1 table ki value likhni the marginal cost
- Q.5 in visible hand concept
- 4 question 5 marks
- Differ btw collusion and non-collusion oligopoly
- Q.2 table tha marginal cast find krni the marginal cost equal total cost over output ye formula lga k just value krni the find

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Q.3 ye b table hi tha value find krni the simple injection ki I G X tha table main injection find kr k likhni the (topic on page 131 book)

Q.4 ye b table tha annual growth find krni the countries ki topic on page no 163

Overall paper easy tha conceptual tha .dehan sy sary 18 lec b agr read kr lye to paper acha ho jaye ga .formual 4.5 hi han wo lazmi read krye ga .difference jitny b han lazmi rat lain bht ah rhy han. important topic btany lga hon un mnsy hi paper ah rha 80%. Past paper sy b kuch mcq aye thy mery or long b wahn sy 2 aye thy table exact wohi aye thy 1 nazar past ko b read krty jana Topic: (unemployment .marginal monopoly .Philips curve .inflation .who introduce invisible hand concept or table ki value find krni the marginal cost ki hi)

Feb 18, 2020

- 1) MPs find karna ik table diya tha
- 2) Total value or value added equation
- 3) Nominal n real gdp with Fischer equation
- 4) Characteristics of oligopoly
- 5) Reason of increase of supply of us dollars
- 6) Multiplier find karna
- 7) Total revenue. Table given

5 marks questions

- 1) Find Multiplier given values.
- 2) $MV=QV$ find P in given values...
- 3) Find TR in given table
- 4) Find MRPL in given Table
- 5) How Monopolist retain its monopoly

3 marks questions

- 1) Price discrimination consequences.
- 2) Draw AR curve in monopoly.
- 3) What is Marginal product of labor in perfect competition...?
- 4) What is actual gdp and potential gdp?
- 5) Pure inflation

- 1) Find out TVC with respect to given value
- 2) Find the TR with respect to given value
- 3) Why investment is low and unemployment is high in according with classics. Explain
- 4) About macroeconomic equilibrium in leakage injection with graph
- 5) Find out potential GDP gap kuch is trha sy tha shyd
- 6) Inflation or deflation ky between lkna ta
- 7) Monopoly ky three reason lkny ty

Q1. Table... Total revenue find krni thi... P r q given 5 marks

Q2. Table... Marginal revenue product find krni thi. 5 marks

Q3. Difference between real Gdp and nominal +relationship with fisher eq. 5 marks

Q4. At equilibrium... Perfect compition graph. 3 marks

Q5. Structural Unemployment and frictional unemployment difference. With example. 3marks

Q6. Why unemployment..... In economy? 2marks

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Q7. Ctrcl define with example.

Mcq's ma formula's r conditions zyada thi. Methematical kum tha.

Sep 14, 2020

- 1) Calculate GNP and NNP and aggregate expenditure
- 2) Difference b/w voluntarily and involuntarily unemployed people
- 3) Oligopoly structure k 3 characteristics...
- 4) Equation if money theory $MP=QV$ 3 given thy aik find out krni h value...

Sep 14, 2020

- 1) 3rd Degree price discrimination
- 2) Differentiate AVC & AFC
- 3) Explain invisible hand
- 4) Keynes paradox of thrift
- 5) Inflation rates
- 6) Find NGDP from table given
- 7) Find unemployed persons from table given
- 8) Find AR from table given
- 9) Write two conditions of price discrimination hold
- 10) Inflation results corruption and inefficiency in some country explain

Aug 25, 2019

1. Lack of growth which is big microeconomics issue.
2. Keynesian view.
- 3 actual and potential GDB.
- 4 fixed cost.
- 5 collusive and non-collusive oligopoly
6. First degree price discrimination
7. per capital GDB.
- 8 calculate average propensity to save.

Feb 20, 2018

Mcqs: 40 some were from past papers & some were conceptual.

Discuss maximax strategy of goal theory. 3 marks

Explain Total revenue curve position by drawing a graph 3 marks

Explain invisible hand concept 3 marks

Differentiate cyclical and technological unemployment 3 marks

Differentiate b/w fixed and floating exchange rates? 3 marks

Data given Find AVC 5marks

Data given find growth rate of per capita income 5 marks

Discuss 3 falws in GDP 5 marks

Find profit maximizing output level using MR & MC 5 marks

Discuss 2 conditions of Price Discrimination 5 marks

2018

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Question No.1:

Output	Price	Total Revenue
10	5	?
20	5	?
30	5	?
40	5	?

Question No.2: Missing figure and missing value:

Money Supply = M200. Velocity of money = 7 and output Q = 700.

Money Supply = M150. Velocity of money = 8 and Price Level P = 3.

Question No.3:

Disposable income(Yd.)	Consumption	Average Propensity to Consume
350	340	?
400	380	?
450	420	?
500	460	?
550	500	?

Question No.4: Discusses the concept of prisoner's dilemma in game theory?

Question No.5: Why is there unemployment according to classical and how it can be eliminated?

Feb 19, 2018

- 1: Difference between Monopoly of power and Price elasticity of demand? (Marks 03)
- 2: Difference between Average Variable cost and Average fixed cost with help of their formulas? (Marks 03)
- 3: Difference between Discounting and Discount rate? (Marks 03)
- 4: how can we measure unemployment rate in an economy? (Marks 03)
- 5: Recall the equation of Quantity Theory of Money, and calculate the missing figures in each of the following case; (Marks 03)
Velocity of Money (V) = 10, Output (Q) = 500, Price level (P) = 5
- 6: Discuss prisoner's dilemma in game theory? (Marks 05)
- 7: Data of disposable income and consumption for a hypothetical economy is given in table. Calculate avg. Propensity at each level of income? (Marks 05)

Disposable Income (Yd.)	Consumption (C)	Avg. Propensity to consumer
350	340	?
400	380	?
450	420	?
500	460	?
550	500	?

8: Recall equation of Quantity theory of money, and calculate missing figures; (Marks 05)

A) Money Supply (M) = 200, Velocity of money (V) = 7, Output (Q) = 700

B) Money supply (M) = 150, Velocity of money (V) = 3, Price level (P) = 3

9: Suppose a Firm A produce yarn from cotton and sells it for Rs. 400,000/- to Firm B. Firm B buys this Yarn and then process it to manufacture cloth of worth Rs. 600,000/- and sells it to Firm C. Firm C buy this cloth and prepare readymade suits and sells to the consumer Rs.

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850,000/-. From this Information calculate the Gross Domestic Product by value added method?
(Marks 05)

10: Following table show data of output, price and total revenue. Calculate the Avg. Revenue?
(Marks 05)

Output (Q)	Price (P)	Total Revenue	Avg. Revenue
1	80	80	?
2	70	140	?
3	60	180	?
4	50	200	?
5	40	200	?

Aug 13, 2017

Short Question.

1. How a monopolist can maintain the high price even in the long run?
2. How a monopolist can retain its monopoly?
3. Define variable cost with examples?

Mar 4, 2017

- 1) Differentiate between Actual GDP and Potential GDP. (Marks: 3)
- 2) Differentiate between international trade and international finance. (Marks: 3)
- 3) Calculate the multiplier by using the marginal propensity to consume for $MPC = 1$, $MPC = 0.90$ and $MPC = 0.67$. (Calculate for all three) (Marks: 3)
- 4) Differentiate between risk and uncertainty. (Marks: 3)
- 5) Keeping in view the $\times$ Keynesian paradox of thrift $\times$ Explain what is the effect of savings on consumption, output and investment. (Marks: 5)
- 6) Prepare a Balance Sheet from the given data. (6 items were given) (Marks: 5)
- 7) Define and explain the main resources which are needed in any kind of production. (Marks: 5)
- 8) Differentiate between $\times$ Appreciation and Depreciation. (Marks: 5)

- 1) Differentiate between real gdp and nominal gdp?
- 2) Differentiate between shapes of Phillip curve in different cases?
- 3) Table was given with different situations and we have to find either consumption rise or fall?
- 4) Table is given and we have to find value added in each case.
- 5) Numerical question of finding profit where output Q is given
- 6) write down conditions for product discrimination??

Mcqs were too easy...some are conceptual about shape of graphs in different cases

Feb 27, 2017

- Q1: What is difference between Inflation and deflation?
Q2: What is slope of marginal revenue curve? Explain with the help of graph.
Q3: What is difference between Real GDP and Nominal GDP?
Q4: Calculate rate of unemployment. Data was given.
Q5: How monopolist maintains its monopoly? Discuss.
Q6: Write flaws of gross domestic product.
Q7: Write two approaches of profit-maximization.

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Q8: Write about Price Discrimination.

Q9: What is Cost Push Inflation and Demand-pull inflation?

Q10: What is a Saving Function? Write its equation.

Mcqs were from past papers mostly and some related to definitions.

Mar 5, 2017

1. Difference b/w Rent and Purchase price capital?
2. AVC cost find krni thi from given data se
3. Define price making firm in which market structure the firm exists.
4. Import and exports se question tha ak numeric type
5. Real or nominal income main difference btana tha 3 number ka question totally handouts sey

Aug 20, 2017

Short

1. Marginal revenue curve + graph
2. Devaluation and revaluation difference
3. Find total average cost date was given
4. Marginal disunity workers
5. GDP Deflator find

Long

1. Perfect competitive market structure characteristics
2. Nominal GDP FIND
3. Gross aggregate spending find
4. Gross income per capital find
5. Present value PV find

Mar 5, 2017

- 1) Explain second degree price discrimination with the help of an example. (3 Marks)
- 2) Differentiate between personal income and disposable personal income. 3 Marks
- 3) Differentiate between underemployment and disguised unemployment. 3 Marks
- 4) Briefly discuss the concept of capital deepening in the context of economic growth. 3 Marks
- 5) There are certain conditions for price discrimination to hold. Discuss those conditions. 5 Marks
- 6) Suppose firm A produces steel from raw iron and sells it for Rs.200,000 to firm B. Firm B buys this steel and then processes it to produce a car body of worth Rs.400,000. Firm C buys this car body, adds the other parts and sells the complete car for Rs.600,000. From this information, calculate the gross domestic product by value added method. 5 Marks
- 7) Let an economy is characterized by the following equation:
 $AD = Y = C + I + G + (X-M)$
Where, $C = 500 + 0.90Y$, $G = 300$, $I = 200$, $M = 150$, $X = 250$
Find out the equilibrium output level. 5 Marks
- 8) Let an economy is characterized by following information:
Saving = $-10 + 0.2Y$, Imports = 70, Investment = 100 and Exports = 70
Calculate the equilibrium level of output by using leakages-injections approach. 5 Marks
- 9) Give any five examples of foreign exchange markets. 5 Marks

Aug 20, 2016

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Most mcq's were from past papers ...overall it wasn't that hard

- 1- What is the difference between discounted rate and discounting?
- 2- Find the consumption level of the c function...inputs and output level (y) was given
- 3- Describe the characteristics of monopoly market structure
- 4- Prove that GDP per capita income and total population and total output equal growth per capita GDP and growth total population and output (given in the lecture 3)
- 5- Differentiate between cost push inflation and demand-pull inflation with the help of examples
- 6- If multiplier is 1.20 what will be the value of marginal propensity to consume
- 7- a machine is bought...earns 100 million in first year, 200 million in second year and 300 million in third and the scrap output is 100 million...find the present value of machine with 5% discounted rate after 3 years.

Short question

- 1 Discuss the relationship between monopoly power and price elasticity of demand. Marks = 3
- 2 Discuss different method for measurement of gross domestic product? Marks = 3
- 3 difference between underemployment and disguised un employment? Marks = 3
- 4 Define exchange rate with example? Marks = 3

Long questions

- 1 How a monopolist retain its monopoly discuss? Marks = 5
- 2 Recall the equation quantity theory of money calculate the missing figure in each of the following cases. Money supply $M = 100$ price $p = 3$ and output $Q = 200$. Calculate missing value
- 3 And one is the same question of 5 marks which asim shared before this in this discussion and the question about " a firm have iron steel"

Aug 29, 2016

Below Question's having marks (3).

- Q1. Explain the shape of aggregate demand curve with the help of graph?
- Q2. How we define imports and exports in macroeconomics?
- Q3. Briefly discuss the concept of capital deepening in the context of economic growth?
- Q4. Provide any three principle of taxation?
- Q5. On what factors, the slop of IS curve depends?

Now Below Question's having marks (5).

- Q1. World Bank suggests some structural reform policies for the poor countries to grow. Discuss any 5 of them?
- Q2. Define Philips curve. Explain the shape of this curve with the help of graph?
- Q3. Why is there unemployment according to Classical's and how it can be eliminated?
- Q4. Some economists suggest "growth through trade "strategy to tackle the poverty problem of developing countries. Discuss this strategy has not become successful?
- Q5. Advertising is a major way of non-price competition among the oligopolistic firms but economist's debate quite a lot whether advertising itself is desirable or not desirable as regard to public interests. Keep in view this statement, highlight any 5 disadvantages of advertising?

Feb 27, 2016

1. Underemployment vs. Disguised employment
2. Deflation vs. Inflation
3. International Trade vs. International Finance

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4. on what basis country gain in trade?
5. Differentiate monetary components of money supply M0, M1, M2
6. Find MPC. Where multiplier=1.18
7. Find opportunity cost of producing 1 unit of Cotton in USA & UK. Values provided were:
(i). Cotton: 40 units in USA, 30 Units in UK, (ii). Food: 60 units in USA, 20 units in UK
8. According to classical school of thoughts, what will be the impact of increase in Aggregate Demand? Give a graphical representation?
9. According to Keynes, what will happen if there is an excess supply of labor in market?
10. Find per Capita production function using Cobb Douglas Production Function.

Feb 29, 2016

- Q.1 On what feature steady state growth rate of real gross domestic product depends?
- Q.2 when does the real wages unemployment occur in an economy?
- Q.3 what will be the value of marginal product of labor perfectly competitive market?
- Q.4 mentions the components of current account in the balance of payment?
- Q.5 Differentiate between fiscal policy and monetary policy?
- Q.6 briefly discuss the speculative motive of holding money?
- Q.7 Calculate the reserve requirement ratio (RR) of a bank if money multiplies is .98?

Feb 29, 2016

- Q- Provide any three principle of taxation
- Q- differentiate between underemployment and distinguish unemployment
- Q- Calculate withdrawn/leakage at each level of output
- Q- Question about equation of quantity theory of money
- Q- Given the endogenous model $Y=AK$ Prove that the growth rate of output depend upon the saving rate and technological progress.

Aug 25, 2015

- 1) Calculate the MPC on consumption if the multiplier is 1.18? 5 No
- 2) GDP and GDP Flaws 5No
- 3) Interest Parity 5 No
- 4) Discuss the concept of capital deepening in the context of economic growth? 5 No.
- 5) Ik question volatile money se related un ki value fine karni thi 5 No.
- 6) Exogenous growth and Assumption 3 No
- 7) Investment and Investment curve 3 No

Aug 25, 2015

- 1) Define unemployment? (5 marks)
- 2) Define endogenous growth theory? Explain mathematical form of the model $y=AK$. (5 marks)
- 3) Define exogenous theory? (5 marks)

Aug 22, 2015

- 1: Calculate MPs if the value of multiplier is 1.21.
- 2: Discuss the concept of capital deepening in the context of economic growth?
- 3: Explain the shape of Keynesian aggregate supply curve with the help of graph?
- 4: If the value of multiplier 1.20 calculate the mpc?

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- 5: identify which of the following is net injection and net withdraws?
6: What is the key assumption of the exogenous theory of growth?
7: If the adjusted tax is 2.84 and tax rate is 0.25 then calculate the MPC.

1. Explain the concept of capital deepening in the context of economic growth (3 marks)
2. How do we measure inflation rate? (3 marks)
3. Components were given; had to identify withdrawals and injections (5 marks)
4. Calculate tax rate; MPC and k were given (5 marks)
5. calculate MPC; tax rate and k were given (5 marks)
6. Calculate APS; disposable income and savings were given (5 marks)
7. Calculate S , using withdrawals and injections approach, values of C , I , T , G , X , M were given (5 marks)

Aug 28, 2015

- 1) If $MPC=0.84$ and Tax is 0.27. Calculate the multiplier by adjusting the taxes.
- 2) Define Balance of Payments.
- 3) Find out withdrawal by given table?
- 4) Find out GDP by given table?
- 5) Profit Maximization under Monopoly
- 6) Indifference curve
- 7) Balance of Payment in detail.
- 8) BOP k definition thi

Mar 6, 2014

- 1) If $MPC = 0.84$ and tax rate = 0.27 then find out the value of tax-adjusted multiplier.
Note: Step wise calculation is required.
- 2) Define balance of payment (BOP). How the BOP can be determined?
- 3) If people do not work because they feel they are better off being unemployed then what will be the costs which the society has to face? Discuss.
- 4) What are the major weaknesses of exogenous growth theory? Which theory was developed in against of exogenous growth theory?
- 5) Discuss the components on the assets and liabilities side of the balance sheet of a central bank.
- 6) Define investment demand curve. Explain it with the help of diagram.
- 7) Define price taker and price maker firm. Point out the names of market structures in which these firms exist.
- 8) Explain the major difference between Classical and Keynesian views about the low investment as a cause of Great Depression.

Mar 8, 2014

- 1) Identify the factors which could cause a document shift of the LM curve? (3 marks)
- 2) Differentiate between demand pull inflation and cost pull inflation?? (3 marks)
- 3) If marginal propensity to save (MPS) for a hypothetical economy is 0.75 then calculate the value of multiplier. (Note step wise calculation is required) (3 marks).
- 4) Explain Classical views about the unemployment as a cause of great depression?? (3 marks)

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5) Calculate the total aggregate spending in the economy?? (5 marks)

	Consumer spend C	Investment spend I	New exports NX
700	500	150	20
750	540	150	20
800	580	150	20
850	620	150	20
900	600	150	20

6) Explain the converge theory in the given graph?? (Lesson 39 and page no: 167) (5 marks)

7) Identify the things that determine comparative advantage among countries according to Hechshcer-ohlin? What is the criticism against their argument? (5 marks)

8) Assume that the reserve requirement ratio Crr inute bank UBL is 150% and banks initial deposits is RS2500

(A) By using informal make initial balance sheets of UBL

(B) Calculate the money multiplier (5 marks)

Aug 22, 2014

MCQs: 46 (from past papers + handouts + conceptual)

4 Questions of 3 marks

1) What are the basic functions of money?

2) Differentiate between underemployment and disguised unemployment

3) The Classical Model failed after the 1930s. What are the reasons of the failures of Classical Model?

4) Why balance of payments (BOP) crisis are very serious for any country?

5 Questions of 5 marks

1) Assume that the reserve requirement ratio (rr) of UBL bank is 15% and bank's initial deposits is Rs. 2500

(A) By using informal make initial balance sheets of UBL

(B) Calculate the money multiplier

2) Make balance sheet from the following details: Loans = 60, Reserves = 50, Deposits = 110. If firm A put Rs. 50 in the bank, what will be the new balance sheet?

3) Which of the following are stocks and which are flows?

a) Unemployment.

b) Redundancies (job lay-offs).

c) Profits.

d) A firm's stock market valuation (share price).

e) The value of property after a period of inflation.

4) Which of the following are net injections, net withdrawals or neither

a) The general public deposits more money in banks.

b) People draw on their savings to finance holiday trips abroad.

c) People draw on their savings to finance holidays within Pakistan.

d) The government runs a budget deficit (spends more than it receives in tax revenues) and finances it by borrowing from the general public.

e) The government runs a budget deficit and finances it by printing more money.

5) Briefly write about the different types of taxes imposed by the government

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Aug 22, 2014

- 1) Define the concept of exchange rate. Also give example of exchange rate.
- 2) When does the externality exist? Discuss.
- 3) Identify the major macroeconomic variables involved in the determination of national income.
- 4) How the central bank plays its role in order to control the activities of commercial banks?
- 5) The above figure shows the equilibrium in the labor market where labor demand and labor supply is equal. Suppose the demand for labor decreases, then what will happen to the demand curve and equilibrium condition according to Classical? How the equilibrium will be restored?
- 6) Following are the items of balance sheet of a bank: Loans = 80, Deposits = 100, Reserves = 20. Prepare the balance sheet in proper form and find out total assets and total liabilities.
- 7) Explain the difference between current account and capital account.

From the information given, calculate:

- a) Opportunity cost of producing 1 unit of cotton in USA
- b) Opportunity cost of producing 1 unit of food in USA.

Country	Commodity	Amount that can be produced in 1 year
USA	Cotton	40 units
	Food	60 units
UK	Cotton	30 units
	Food	20 units

- 8) If the value of multiplier is 1.45 then calculate the value of marginal propensity to save (MPS). Note: Step wise calculation is required

Aug 26, 2014

- 1) Consumption and consumption function?
- 2) Find out withdrawal by given table?
- 3) Calculate inflation rate by given table?
- 4) Philips curve and its diagram?
- 5) Why do countries trade?
- 6) Why people hold money? Discuss.
- 7) Exogenous growth theory and its diagram?

Mar 1, 2014

- 53) Differentiate between real exchange rate and nominal exchange rate? (3)
- 54) Define money multiplier formula with the help of income and consumption? (3)
 $Y = C + I + G + NX$ $C = a + by$
- 55) What is the effect of expansionary fiscal policy on debt of any country? (3)
- 56) Differentiate between the real business cycle (RBC) and the rational expectations schools of thought? (5)
- 57) Define the investment demand curve with the help of diagram? (5)
- 58) Define the marginal utility in a maximum point with the help of diagram? (5)
- 59) Under developed countries ka batana tha k kaisy thek kar saky hain 3 condition di thi? (5)
- 60) Explain difference between current and capital account? (5)

Jul 31, 2013

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- 1) Explain how demand curve for air transportation between Quetta and Lahore is affected if there is an increase in income of households in Quetta and Lahore. 3marks
- 2) What will happen to the demand curve for toaster when the price of bread rises?
- 3) Explain with the help of diagram how the equilibrium price and quantity changes. 5 marks
- 4) Diagram. Draw the diagram of equilibrium of supply and demand in PQ space

Jul 31, 2013

Question No. 57 (3 Marks)

Differentiate Between Actual GDB and Potential GDB.

Question No. 58 (3 Marks)

What is the effect of the expansionary fiscal policy on the debt of the country?

Question No. 59 (3 Marks)

What is the effect of increase and decrease in price on the total revenue of a firm, if the demand curve of its products is inelastic?

Question No. 60 (3 Marks)

The Consumer Price Index (CPI) for different years is given in following the table. Calculate the Inflation rate for the year 2002 and 2003.

Year	CPI
2001	100
2002	120.20
2003	180.96

Question No. 61 (5 Marks)

If the bank is in deficit, how the balance, be restored by using fixed exchange rate regimes?

Question No. 62 (5 Marks)

Discuss the components on the assets and liability side of the Balance sheet of the Central Bank.

Question No. 63 (5 Marks)

Differentiate between Frictional unemployment and Structural unemployment.

Question No. 64 (5 Marks)

Following is the Quadratic equation for price

$$Q_d = 50 - 15P + P^2$$

- a) Differentiate the above equation with respect to Price.
- b) Find out the quantity demanded if the Price is 3.
- c) Calculate the Price elasticity of demand from the above information.

Note: Step wise Calculation is required.

2013

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- 1) Identify the factors which could cause a downward shift in LM curve. (3 marks)
- 2) Describe the concept of accelerator. (3 marks)
- 3) Differentiate Actual GDP and Potential GDP. (3 marks)
- 4) Ali wants to buy a ticket for movie. Following table shows the benefits and differences of productivity. Will he buy the movie ticket or not? What will be the opportunity cost of buying movie ticket? 3 Marks

	Cost	Benefits in satisfaction units
Movie ticket	200	20
Clothes	200	10
Books	200	5

- 5) Differentiate between Endogenous growth model and exogenous growth model. (5 marks)
- 6) Quadratic equation is given below
 $Q_d = 50 - 15P + P^2$
 - A- Differentiate above equation with respect to Price
 - B- Find Q_d if price is RS: 3
 - C- Find price elasticity of demand from the above equationShow complete working of solution.
- 7) Suppose economy is characterized by the following equations
Consumption = $500 + 0.90 Y$, General expenses = 300, Interest = 200, Imports = 150, Exports = 250. Find out Equilibrium output level. (5 marks)

Jul 22, 2013

- 1) 1 question about graphic to tell Allocative efficiency point
- 2) Make Balance sheet of Central Bank
- 3) 1 question about Unemployment rate
- 4) where equilibrium in the market of foreign exchange?
- 5) Explain the difference between current account and capital account?

Jul 22, 2013

- Q 1: Why could the world as a whole not experience a problem of current account balance of payments deficit? (3 marks)
- Q 2: What is meant by exchange rate? Also give example of exchange rate. (3 marks).
- Q 3: Explain Average variable cost and Average fixed cost with the help of formulae? (3 marks).
- Q 4: Write the key variables for macroeconomic model? (3 marks).
- Q 5: Circular flow of goods and income for firms and households? (5 marks).
- Q 6: What is the reason of poverty in developing countries according to Prebisch-Singer Hypothesis? (5 marks).
- Q 7: Explain the difference b/w Indifference curve approach and Indifference map with the help of diagram? (5 marks).
- Q 8: If $MPC = 0.8$ & $t = 0.2$... Then find the multiplier (k)? (5 marks).

Jul 24, 2012

- 1) Differentiate b/w real GDP and nominal GDP (3)
- 2) Will consumer increase consumption as price rise for a product having inelastic demand? (3)
- 3) what is the effect of expansionary fiscal policy on debt of any country? (3)

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- 4) Explain the concept of exchange rate with the help of example? (3)
- 5) what adverse internal effects may follow from: 2.5×2.5
 - a) A depreciation of the exchange rate.
 - B) An appreciation of the exchange rate.
- 6) Define IS curve. Explain the shape of this curve with the help of diagram. (5)

Jul 26, 2012

- Q1: Give the reasons of poverty of underdeveloped countries by trap theories? (3)
- Q2: Why government needs to revalue its currency? (3)
- Q3: What is meant by non-price competition? (3)
- Q4: Discuss the components on the assets and liabilities side of the balance sheet of a central bank. (5)
- Q5: Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:
 - a) Velocity of money (V) = 4, Price (P) = 5 and output (Q) = 100. Calculate the missing figure.
 - B) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure. (5)
- Q6: Consider the following: Consumption = $500 + 0.90Y$, Investment = 300, Import = 250, Export = 150, Government expenditure = 300. Use the injection-leakage approach to find the savings. (5)

Mar 2, 2013

- 1) Difference b/w fixed and variable exchange rate?
- 2) If reserves ratio is 15% of UBL and initial deposit is Rs. 2500 make balance sheet
- 3) Money multiplier
- 4) Difference b/w under unemployment & Distinguish unemployment
- 5) In how many ways GDP can be calculated?
- 6) Difference b/w demand push inflation and cost push inflation?
- 7) Difference b/w money multiplier and required reserve ratio?

Mar 4, 2013

- 1. Explain the equilibrium condition in money market?
- 2. What is meant by production function in economics?
- 3. Hypothesis economics?
- 4. Difference b/w classical and Keynesian?
- 5. Difference b/w frictional unemployment and structural unemployment?
- 6. Why balance of payment is costly?

Mar 4, 2013

- 1) Differentiate between residential construction and non-residential construction.
- 2) At what point, the equilibrium occurs in the foreign exchange market
- 3) Discuss the basic functions of money.
- 4) "Although indifference curve approach is very useful in order to analyze the consumer behavior but still there exist some flaws of this approach". Discuss
- 5) How crowding out of investment demand occur due to expansionary fiscal policy?
- 6) From the information given below, calculate the average cost at each level of output.

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7) From the information given below, calculate the average cost at each level of output.

Output	Total Cost	Average Cost
50	60,000	?
100	60,000	?
150	60,000	?
200	60,000	?
250	60,000	?

8) Consider the following table. Find out the Gross National Product (GNP) and Net National Product (NNP) from this information.

Items	Amount (billion rupees)
Personal consumption expenditures	458
Gross domestic private investment	169
Government expenditure on goods and services	78
Gross domestic public investment	27
Exports surplus	15
Net foreign investment	17
Depreciation cost	28

Note: Step wise calculation is required.

Feb 27, 2013

52 mcqz mostly from past papers but some contain formula calculations.

- 1) Find out the unemployment rate (a table was given).
- 2) Find out inflation rate (a table was given).
- 3) Find out price elasticity of demand (a graph was given) and draw a graph against it.
- 4) Why IMF policies against developing countries are being criticized?
- 5) Weak points in exogenous growth theory and what theory comes against it?

Mar 4, 2013

Objectives were from old papers and were easy.

Q1. Two products and per year units production were given at USA and UK. You had to find 1 unit opportunity cost at UK.

Q2. A graph of monopolistic firm was given showing a demand curve just crossing two parabolic curves above. One curve was AC and the other one was AVC. You had to explain the diagram.

Q3. Define the current account and capital accounts.

Q4. There was question where a function of expenditure was given like $=500+0.9Y$ and government expenditure =300 import=150 export=250 and tax collection was 250. Find I don't remember

Feb 3, 2012

- 1) Why countries have competitive advantage? Explain with Ricardo's theory. 3
- 2) What are the assumptions of exogenous growth theory? 3
- 3) Define balance of payment. How the BOP can be determined? 3
- 4) Explain the equilibrium condition in money market with the help of diagram? 5

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5) Give the following production for a hypothetical economy $Y = k a l^a$. Here Y is a output , K is for capital (veges , cost , etc.) , L denotes labor , a is a parameter that is lies between 0 and 1. Drive the pet capita production $Y = K a$. 5

6) Sea the statements and tell which of them is/are fixed cost and which is /are the variable cost?

A) The cost of labor

B) The fee paid to an advertising agency

C) Wear and tear on machinery

D) Salaries of permanent employees

E) Electricity for light

7) Define investment demand curve. Explain it with diagram. 5

Another paper is

1) Explain the shape of Philips curve with the help of diagram .5

2) Calculate MU at each level .5

3) What are the long run implication of exogenous growth? Discuss 5

4) Discuss the components on the assets & liabilities side of the balance sheet of a central bank?5

5) Identify the factors on which country's import depends? 3

6) How the central bank plays its role in order to control the activities of commercial? 3

7) Briefly discuss the concept of Pareto efficiency? 3

Feb 8, 2012

1) Explain what will happen in a country if:

(a) Domestic interest rate > Foreign interest rate + Expected depreciation

(b) Domestic interest rate < Foreign interest rate + Expected depreciation=Marks: 2.5+2.5

2) Recall the equation of quantity theory of money and calculate the missing figure in each of the following cases: 5mks

A) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

B) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value. (Marks: 2.5 each)

3) Ahmad, a careful maximizer of utility, consumes only two goods butter and potato. Use the indifference curve analysis to show the optimum point of consumption for Ahmad. At which point Ahmad will be equilibrium?

4) Differentiate between transaction motive and precautionary motive of holding money.5 mks

5) If MPC = 0.84 and tax rate = 0.27 then find out the value of tax-adjusted multiplier 5 mks

6) suppose an economy is characterized by the following equation: Consumption = 500 + 0.90Y
Government expenditures = 300 Investment = 200 Imports = 150 Exports = 250 If taxes are 250.find saving level using injections-leakage approach. 3mks

7) How the central bank plays its role in order to control the activities of commercial banks? 3mks

Feb 9, 2012

1) 5 number of question shortage and surplus find : $Q_d = 200 - .090p$, $Q_s = 100 + 10p$, price change the orange =3.00

2) 5number international trade advantages, USA and UK
table show

USA product cotton 60unit

USA product food 40unit

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UK product cotton 40 unit

UK food 20 unit

B) show the diagram of trade between US AND UK?

3) Poor countries poor determinant? Explain reason

4) number economy stabilization ke bary mein tha

Feb 9, 2012

Long questions of 5 marks

1) Quantity theory of money you have to find the missing value like

$M=100$, $P=4$, $Q=200$.

2) Comparative advantage of production of cotton and food in UK and USA

3) Relation between income and demand for a normal good.

4) Exogenous growth theory implications

Short questions of 3 marks

1) How govt manage budget deficit

2) What is the impact of increase in money supply on output?

3) International trade.

Feb 9, 2012

1- central bank authorities

2- unemployment and its rate

3- poor countries wala tha koi question

4- foreign exchange rate kaha pay equilibrium pay hota hai

5- wheat wala question tha jis pay brief discussion karna thi... If price of wheat increase in international market than what's the effect on exchange market....

Feb 13, 2012

Q1. Effect expansionary fiscal policy on debt country.

Q2. Difference b/w fixed exchange rate & floating exchange rate

Q3. Find median & mode

Q4 .Criticism on Hecsher-ohlin theory...

Q5. Define consumption and consumption function

Jul 21, 2011

1. Assumptions of exogenous theory? (3)

2. Steady trade growth? (3)

3. Money demand curve? (3)

4. Numerical of MPs? (5)

5. Current account deficit? (5)

6. Question about inferior n normal goods? (3)

7. Vertical and horizontal demand curve? (5)

8. Mean and median find kerna tha? (5)

Jul 21, 2011

1. A Question, from which you had to find Mean & Median, Simply. 5 Marks.

2. Why Taxation is Necessary? Its Principles. 5 Marks

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3. A Question, from which you had to find Total Revenue, while Q, P & TC Column was given.
5 Marks.

4. Why world as a whole can have the problem of current account balance of payment deficit? 5 Marks

Jul 23, 2011

1) Define balance of payment (BOP). How the BOP can be determined? 3 marks

2) it is said that growth is an important macroeconomic issue. Why? Discuss 3 marks

3) Define unemployment? 3 marks

4) how oligopoly is differ from another market structures??? Briefly explain... 5 marks

5) how can a government finance its fiscal deficit??? Explain 5 marks

6) define current account deficit??? How to reduce current account deficit??? 5 marks

Feb 11, 2011

1. What is meant by Balance of Payment (BOP)?

2. What are the basic functions of Central Banks?

3. What are the difference between exogenous growth model and endogenous growth model?

Q1: Define unemployment what is meant by unemployment rate :3 marks

Q2: what is the reason of poverty in developing countries according to prebisch singer hypothesis?:3m

Q3: Differentiate b/w actual GDP and potential GDP?:3m

Q4: What is meant by balance of payment (BOP)? How BOP is used as an indicator of economic and political stability discuss?: 5m

Q5: if a consumer is facing some budget constraint and having many indifference covers then what will be the optimum point where he can maximize his utility . Explain with the help of diagram? 5m

Q6: How crowding out of investment demand occur due to expansion fiscal policy? 5m

Q7: calculate injections at each table

Feb 15, 2011

1- What type of taxes govt.? Can impose? Explain them briefly?

2- Write the difference between cost push inflation & demand pull inflation with example?

3- What will be the value of MPS when the value of multiplier is 1.45

4- "Slope of consumption function is less than 1" What is its mean?

5- What are the important variable used to determine the national income?

Feb 15, 2011

1) On what factors steady state growth rate of real GDP depends? (3)

2) Water which is essential for life is so cheap while diamond are not so essential for life are so expensive why discuss. (5)

3) Calculate GNP, NNP (5)

4) what are the effect of expansionary fiscal on country debt.

4) give the formula of the following 3

GNP, NNP, GDP, Deflator

5) Function of Central bank 5

6) Pull demand inflation, cost push inflation difference 5

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Feb 23, 2011

Long Questions were as follows:

Q.1: When does real wage unemployment occur in an economy? (3)

Q.2: On what factors steady state growth rate of real GDP depends? (3)

Q.3: Explain the shape of money supply with diagram? (3)

Q.4: Why Marginal Revenue and price are equal under perfect competition? (2+3)

TR = $25Q - Q^2$ (square). Find out marginal revenue and slope of marginal revenue?

Q.5: Differentiate between Gross National Product and Net National Product by giving their formulas. (5)

Q.6: Differentiate between Fix exchange Rate and Floating Exchange Rate? (5)

Feb 13, 2011

Q1 (a) what is the meaning of equilibrium in foreign exchange (b) What is balance of payments?

Q2 what is current account? What is deficit current account? (5) Marks

Q3 what is the role of commercial bank (5) marks

Q4 what is IMF policy to improve the economic condition of poor countries (5) marks

Aug 7, 2010

1) What will be the effect of BOP Surplus on Money Supply? Describe the open Market Operations to sterilize this effect (3)

2) on what basis Countries Gain Trade (3)

3) Discuss the concept of Comparative Advantage with Example (05)

4) Difference b/w Endogenous Growth Model and Exogenous Growth Model (05)

5) Numerical to find out GNP and NNP (05)

Aug 15, 2010

1) How a central bank controls functions of commercial banks? 3marks

2) it is argued that devaluation has negative impacts on the country's economy, can it be used to solve POB prbs? 3marks

3) why the slope of consumption function is less than one? & name some macroeconomic variables which determine the national income of a country. 2+3 marks

4) what are the conditions under which foreign exchange markets exists, give examples 5 marks

5) what are principles of taxation? 5 marks

Aug 17, 2010

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